

# Investment Memo - Uber Technologies Inc

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## Executive Summary

Recommendation: BUY. Uber Technologies, Inc. (UBER) presents a compelling investment opportunity driven by sustained revenue growth, a decisive shift to operating profitability, and robust earnings expansion. The company has demonstrated the ability to scale revenue from approximately \$3.2 billion in Q3 2019 to \$13.2 billion in Q1 2026, representing a greater than 4x increase over the period. Concurrently, Uber has transitioned from operating losses to generating \$1.9 billion in operating income in Q1 2026 and \$5.6 billion for FY 2025, validating the operating leverage inherent in its platform model.

The company's net income reached \$10.1 billion for FY 2025, reflecting both operational improvements and gains from strategic investments. Diluted EPS grew from \$3.11 to \$4.73 on a trailing basis through FY 2025, with Q1 2026 contributing \$0.13 per share. We recommend building a position given Uber's demonstrated ability to convert top-line growth into bottom-line profitability, supported by a strong balance sheet with \$24.8 billion in stockholders' equity and \$5.6 billion in cash as of Q1 2026.

## Financial Performance Analysis

Uber's revenue trajectory illustrates the company's successful scaling of its mobility and delivery platform. Revenue grew from \$3.17 billion in Q3 2019 to \$13.2 billion in Q1 2026, representing compound growth that accelerated through the post-pandemic recovery period. For the full year 2025, Uber reported \$52.0 billion in total revenue, establishing a new annual record. The quarterly run-rate of approximately \$13.2 billion in Q1 2026 suggests continued momentum.

The most significant development in Uber's financial profile is the achievement and expansion of operating profitability. After years of heavy investment and operating losses, Uber reported \$5.6 billion in operating income for FY 2025, with Q3 2025 contributing \$1.1 billion and Q1 2026 reaching \$1.9 billion. This operating income inflection demonstrates that Uber has crossed the critical threshold where network effects and scale advantages translate into sustainable margins.

Net income has shown even more dramatic improvement, reaching \$10.1 billion for FY 2025. This figure exceeds operating income, likely reflecting investment gains and other non-operating items. The diluted EPS progression from \$3.11 per share to \$4.73 per share on a full-year basis through FY 2025 confirms the earnings trajectory. Q1 2026 contributed \$0.13 per share in diluted earnings, reflecting typical quarterly seasonality.

Research and development expense totaled \$3.4 billion for FY 2025 and \$951 million in Q1 2026, representing approximately 6.5% of revenue. This investment level supports Uber's

continued platform innovation, including autonomous vehicle initiatives, freight logistics, and advertising technology, while remaining disciplined relative to the company's revenue base.

## Balance Sheet Assessment

Uber's total assets stood at \$59.9 billion as of Q1 2026, compared to \$61.8 billion at FY 2025 year-end. The company has maintained a substantial asset base, with assets ranging from \$56.0 billion to \$63.3 billion over the trailing quarters, reflecting Uber's significant investment in technology infrastructure, mobility assets, and financial investments.

Total liabilities were \$34.1 billion as of Q1 2026, essentially flat with \$33.7 billion at FY 2025 year-end. Stockholders' equity totaled \$24.8 billion in Q1 2026, down slightly from \$27.0 billion at FY 2025 year-end. The equity base has fluctuated between \$22.6 billion and \$28.1 billion over the period observed, reflecting the impact of stock-based compensation, share repurchases, and retained earnings accumulation.

Uber's liquidity position remains robust with \$5.6 billion in cash and cash equivalents as of Q1 2026, though this represents a decline from \$7.1 billion at FY 2025 year-end and a peak of \$8.4 billion in Q3 2025. The company maintains sufficient liquidity to fund ongoing operations, strategic investments, and potential share repurchases without accessing external capital markets.

Based on Q1 2026 data, the debt-to-equity ratio calculated using total liabilities and stockholders' equity is approximately 1.38x ( $\$34.1 \text{ billion} / \$24.8 \text{ billion}$ ). This leverage level is moderate and manageable given Uber's strong operating cash flow generation and substantial equity base. The ratio has remained relatively stable, indicating disciplined capital management.

## Key Risks and Considerations

**Net Income Composition Risk:** Uber's FY 2025 net income of \$10.1 billion significantly exceeds its \$5.6 billion in operating income, suggesting substantial non-operating gains (likely from investment markups or divestitures). Investors should assess the sustainability of these non-operating contributions, as they may not recur in future periods and could create earnings volatility.

**Liquidity Trend Risk:** Cash and equivalents declined from a peak of \$8.4 billion in Q3 2025 to \$5.6 billion in Q1 2026, a reduction of approximately \$2.8 billion over two quarters. While the absolute level remains adequate, this drawdown warrants monitoring to ensure it reflects strategic deployment rather than operational requirements.

**R&D Investment Pressure:** With \$3.4 billion in annual R&D spending and emerging competitive threats in autonomous vehicles and delivery automation, Uber faces pressure to maintain or increase its technology investment. This spending is critical for long-term competitive positioning but could pressure near-term margins if revenue growth decelerates.

**Revenue Concentration and Growth Sustainability:** While Uber has demonstrated impressive revenue scaling, the financial data does not break down revenue by segment. Investors should

evaluate the concentration of revenue across Mobility, Delivery, and Freight segments to assess diversification. Additionally, the sustainability of the current growth rate requires ongoing monitoring as the platform matures.

**Competitive and Regulatory Headwinds:** Uber operates in highly competitive markets globally with regulatory risks related to driver classification, licensing requirements, and market access. Changes in labor laws or platform regulations could impact operating costs and market availability, potentially affecting the company's path to sustained profitability.

## Conclusion

We reaffirm our BUY recommendation for Uber Technologies, Inc. The company's financial performance demonstrates a successful transition from a growth-at-all-costs model to one generating meaningful operating profitability. Key supporting metrics include: \$52.0 billion in FY 2025 revenue, \$5.6 billion in operating income, \$10.1 billion in net income, and a debt-to-equity ratio of 1.38x.

Uber's platform economics are delivering operating leverage as network density increases, with operating margins expanding from negative levels to generating \$1.9 billion in a single quarter (Q1 2026). The company's \$24.8 billion equity base and \$5.6 billion cash position provide financial flexibility to invest in growth initiatives while returning capital to shareholders.

The primary risks center on the sustainability of non-operating income contributions, competitive dynamics in autonomous mobility, and the need to maintain R&D investment discipline. However, these risks are manageable given Uber's scale advantages, diversified platform, and demonstrated ability to convert revenue growth into bottom-line profitability. We recommend initiating a position sized appropriately for the firm's growth equity allocation.